

and leading to a landslide victory in West Bengal. This was repeated in Kerala, where the Congress lost heavily and so did the Muslim parties they allied with. In Assam, too, the Congress lost its votes to the newly-formed Assam United Democratic Front led by Badaruddin Ajmal.

But since then, political parties including the Congress have been wooing the M-vote in their own way—through rallies and committees. The Congress's sudden enthusiasm about implementing the recommendations of the Srikrishna Commission three years after it came to power at the Centre is a chapter from the same book. Since Iraq and after 9/11, the perception in the Middle East, the Arab Street and sections of the Muslim world is that the US is the new Satan. Dependence on the Muslim vote thus dictates a party's political stance on the nuclear deal. It is a factor that does worry a section of the Congress not just for the electoral survival of the party but also the existing coalition. Ergo the M-factor will influence the final outcome.

by Shankkar Aiyar

PARALYSIS OF GOVERNANCE

Already, initiatives are locked in GoMs stalling any policy push. This crisis will render the UPA a lame duck regime.

The mushrooming spectre of mid-term polls, fuelled by atoms of discontent between UPA and the Left Front, could cripple a regime already buffeted by internal strife. To begin with, the regime started with a handicap as it conceded ground to the Left Front in the CMP, rendering a whole slew of reforms outside its ambit. So banks gasping for capital cannot dilute equity and raise cash. Retail can deliver better returns and cut wastage, but the Left has blocked corporate and FDI investments. Changes in labour laws can help over 300 million workers, now stranded in the unorganised sector, get a better deal, but there is a red flag on labour reforms. Of the 277 public sector outfits, 82 have eroded their net worth with accumulated

losses of Rs 81,000 crore, but the Leftists won't allow disinvestment. Yes, the Left has ensured the blockade of critical reforms, but it is not just them. Almost every major decision is contested within the Congress and among UPA allies. In pandering to their political and economic interests, most policy decisions are referred to a Group of Ministers (there have been over 110 so far).

So the optics would suggest that the possibility of mid-

LOG-JAM: The UPA conceded ground to the Left in the CMP, rendering a slew of reforms outside its ambit

term polls, or worse, the potential of operating in a lame duck regime, couldn't do much damage to the growth impulse. But that would be discounting the enabling positive of a stable political environment. In an economy that is expected to notch 9-plus per cent GDP growth for the third successive year, the avoidable political turmoil will disrupt the momentum. Sure, private enterprise, investment and consumption are fuelling the growth and private India may yet shrug off political turmoil for growth, but the numbers doubtless will be impacted. Growth cannot be sustainable in the long run unless the rural economy, which supports two of three Indians, is restructured. Agriculture, which seemed to have finally got attention, may be the biggest loser as the regime shifts focus from the fields of death to its own survival. As India grows, so does the challenge of energy security. Hopes are pinned on investments in coal-pit-head mega power plants, but there is no sign yet of laws to fix power theft. India expects big tag investments to flow into the steel sector but the Tatas, the Mittals and Posco are struggling to make sense of the mining regime. Those investing in petro exploration are daunted by the absence of a credible pricing policy. Investors are also concerned about competition laws, and want global insolvency systems and a modern Companies Act. But reforms are stuck in the legislative log-jam. At the beginning of this session, 61 Bills were pending, some like the Seeds Bill dating back to 2004.

It isn't the immediate, therefore, that is the cause of concern. Acceleration is a factor of force and mass, and loss of momentum will hurt in the long run. The current economic boom has shifted from a consumption-led boom to one led by investment. The investment pipeline is now estimated to be worth over Rs 5 lakh crore, ranging from expansions to Greenfield projects in power, petroleum, steel and automobiles, besides infrastructure. India Inc, which is sitting on a pile of cash worth over Rs 3.5 lakh crore, will wait to see the colour of the regime. So will global investors. The credibility of this regime is now trading at a discount.

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